

group—which was to be expected—this improvement does not seem to be great enough (over an eight-year period) to offset the initial premium paid for these issues. Nor was their better showing sufficiently sustained, in good and bad years, to make certain that they would *eventually* prove cheaper than the cheap stocks.

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NOTE 4

A part of the financial history of the U.S. Express Co. shows how the conversion of an interest in property from the stock form to the bond form obtained buyers for the new securities which were both less safe and less profitable than the stock issue.

In 1918 the sole assets of the company consisted of a building at 2 Rector Street, New York City, and miscellaneous real estate of relatively slight value. Ownership of these assets was represented by 100,000 shares of stock selling at \$15 per share. The following year the Rector Street building was sold for \$3,725,000, the buyer financing the purchase in part by the sale at par of \$3,000,000 first-mortgage bonds secured by a lien on the building. After disposing of its other assets, U. S. Express Co. paid liquidating dividends to its shareholders of \$39.25 per share.

There is a striking contrast between the essential merits of the U. S. Express Co. stock at 15 and of these bonds at par. Buyers of the former were paying the equivalent of \$1,500,000 for *complete ownership* of the Rector Street property, plus the other assets. Buyers of the latter were paying \$3,000,000 for a *limited interest* in the Rector Street property alone. Obviously the stock at 15 was both a safer and a more attractive commitment than the bonds were at par. Apparently the public regarded the stock as a speculation and the bonds, representing only a part interest in the assets behind the stock, as an investment. A part of the explanation of this anomaly probably lay in the magic influence of the title “bond.”

For a more detailed statement of this example, with source references, see pp. 617–618 of the 1934 edition of this work.

A more recent illustration of this principle is afforded by the history of the Court-Livingston Office Building in Brooklyn. After foreclosure of the original first mortgage, ownership of the property (except as to certain leased land) was represented by 3,880 shares of stock. Early in 1939 the stock was quoted at \$30 per share, indicating a total value of \$116,400 for the company’s assets. At that time, however, it held about \$180,000 in cash. In April 1939 the property was sold for \$250,000, and the stockholders later received about \$110 per share in liquidation